Time: 3 Hrs. **Max. Marks: 80**

Notes: *(1) All questions are compulsory.*
(2) Figures to the right indicate full marks for the questions.
(3) Figures to the left indicate question numbers.
(4) Answer to every question must be started on a new page.

Q.1. (A) Select the correct answer from the options given below and rewrite the sentences: (5)[20]

1. Company has to pay _____ to government.
   (a) taxes (b) dividend (c) interest

2. A depository receipt traded in _____ is called American Depository Receipt.
   (a) London (b) Japan (c) U.S.A.

3. _____ of shares takes place due to operation of law.
   (a) Forfeiture (b) Transmission (c) Allotment

4. Money from _____ account is used for redemption of debentures.
   (a) Capital (b) Debenture Redemption Reserve
   (c) Profit or loss

5. Deposits are _____ loans of the company.
   (a) fixed (b) long term (c) short term

(B) Write a word or a term or a phrase which can substitute each of the following statements: (5)

1. The agent of the depository.
2. The return paid to the creditors by the company.
3. Instrument for payment of dividend.
4. A specific place where trading of securities is arranged in an organized method.
5. A market which provides short term funds.

(C) Match the pairs: (5)

	Group 'A'		Group 'B'
(a)	Working capital	(1)	Maximum 36 months
(b)	Board of Directors	(2)	Trading of financial securities
(c)	Tenure of deposits	(3)	Problem faced in physical mode
(d)	Financial Market	(4)	Sum of current assets
(e)	Bad delivery	(5)	Power to issue debentures
		(6)	Maximum 30 months
		(7)	Sum of current liabilities
		(8)	Trading of commodities
		(9)	NCLT
		(10)	Problem faced in electronic mode

(D) Find the odd one: (5)

1. Land and Building, Plant and Machinery, Cash
2. Face value, Redemption value, Market value
3. SEBI, Debentureholder, Shareholder
4. Dividend account, Dividend mandate, Unpaid/Unclaimed dividend account
5. New issue market, Secondary market, Call money market

Q.2. Explain the following terms / concepts (Any FOUR): [8]

1. Investment Decision
2. Trade Credit
3. Initial Public Offer (IPO)
4. Debenture Certificate
5. Rematerialization
6. Stock Exchange

Q.3. Study the following cases / situations and express your opinion (Any TWO): [6]

1. ALPHA Company Ltd. has made a demand on its shareholders to pay the balance unpaid amount of ₹ 20/- per share (having a face value of ₹ 100/-) held by them. The company has sent letters asking the shareholders to pay the money to its bankers within the specified time.
   a. Are the shareholders liable to pay ₹ 20/- for the shares held by them?
   b. Name the letter sent by the company to its shareholders asking them to pay ₹ 20/-.
   c. What happens if a shareholder fails to pay the money within the specified time?
2. Mr. Rajesh holds 100 shares of STAR Company Ltd. in demat mode:
   a. He wants to transfer one share each to his wife, daughter and son. Can he do so?
   b. Does he need to submit DRF or DIS if he wants to transfer his shares?
   c. Can he nominate his wife in his demat account?
3. DONALD Company Ltd. declares a dividend of ₹ 10/- per share for F.Y. 2024-25.
   a. Is company under default, if dividend was not paid within 30 days of its declaration?
   b. Is company right in transferring the unpaid dividend to its Debenture Reserve Account?
   c. Does the company have to transfer the amount of unpaid dividend to IEPF after 30 days?

Q.4. Distinguish between the following (Any THREE): [12]

1. Owned Capital and Borrowed Capital
2. Rights Shares and Bonus Shares
3. Interim Dividend and Final Dividend
4. Jobber and Broker

Q.5. Answer in brief (Any TWO): [8]

1. State any four provisions of Companies Act, 2013 for issue of debentures.
2. Explain the features of Interest.
3. State any four functions of financial market.

Q.6. Justify the following statements (Any TWO): [8]

1. There are various factors affecting the requirement of fixed capital.
2. Debenture trustees are appointed by a company issuing debentures.
3. All companies cannot accept deposits from public.
4. Electronic holding of securities is safer than physical holding.

Q.7. Attempt the following (Any TWO): [10]

1. Write a letter to the member for the issue of Share certificate.
2. Draft a letter of allotment to debentureholder.
3. Draft a letter to depositor informing him about payment of interest through Interest Warrant.

Q.8. Answer the following question (Any ONE): [8]

1. What is debenture? Explain the different types of debentures.
2. Explain the statutory provisions for allotment of shares.